important advantage of such an averaging process is that it will solve the problem of what to do about nearly all the special charges and credits. They should be *included* in the average earnings. For certainly most of these losses and gains represent a part of the company's operating history. If we do this for ALCOA, the average earnings for 1961–1970 (ten years) would appear as \$3.62 and for the seven years 1964–1970 as \$4.62 per share. If such figures are used in conjunction with ratings for growth and stability of earnings during the same period, they could give a really informing picture of the company's past performance.

Calculation of the Past Growth Rate

It is of prime importance that the growth factor in a company's record be taken adequately into account. Where the growth has been large the recent earnings will be well above the seven-or ten-year average, and analysts may deem these long-term figures irrelevant. This need not be the case. The earnings can be given in terms *both* of the average and the latest figure. We suggest that the growth rate itself be calculated by comparing the *average* of the last three years with corresponding figures ten years earlier. (Where there is a problem of "special charges or credits" it may be dealt with on some compromise basis.) Note the following calculation for the growth of ALCOA as against that of Sears Roebuck and the DJIA group as a whole.

Comment: These few figures could be made the subject of a long discussion. They probably show as well as any others, derived by elaborate mathematical treatment, the actual growth of earnings for the long period 1958–1970. But how relevant is this figure, generally considered central in common-stock valuations, to the case of ALCOA? Its past growth rate was excellent, actually a bit better than that of acclaimed Sears Roebuck and much higher than that of the DJIA composite. But the market price at the beginning of 1971 seemed to pay no attention to this fine performance. ALCOA sold at only 11½ times the recent three-year average, while Sears sold at 27 times and the DJIA itself at 15+ times. How did this come about? Evidently Wall Street has fairly pessimistic views about the future course of ALCOA's earnings, in contrast with its past record. Surprisingly enough, the high price for ALCOA was made as far back as 1959. In that year it sold at 116, or 45 times its earnings. (This compares with a 1959 adjusted high